

THESIS SAMPLE • SUBJECT COURSE: BUSINESS
ADMINISTRATION

**STRATEGIC ORIENTATION,
INNOVATION CAPABILITY, AND
BUSINESS PERFORMANCE OF SMALL
AND MEDIUM ENTERPRISES IN THE
PHILIPPINES**

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MASTER OF BUSINESS ADMINISTRATION | MASTERAL LEVEL

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CHAPTER 1

THE PROBLEM AND ITS BACKGROUND

Introduction

The global business environment has undergone profound and accelerating change over the past two decades, shaped by technological disruption, shifting consumer behavior, intensifying competition, and the lingering macroeconomic consequences of the COVID-19 pandemic. Within this dynamic landscape, small and medium enterprises (SMEs) occupy a position of central importance in the Philippine economy, constituting 99.5% of all registered businesses, employing approximately 63% of the national workforce, and contributing an estimated 35% of the country's gross domestic product (Department of Trade and Industry, 2023). Their collective performance is not merely a matter of commercial interest but a decisive determinant of national economic resilience, regional employment stability, and the material welfare of millions of Filipino households.

Despite their numerical dominance, Philippine SMEs face a disproportionate rate of business failure relative to large enterprises. The DTI estimates that approximately 40% of newly registered SMEs cease operations within the first three years, with a substantial proportion attributing their closure to an inability to adapt to changing market conditions, insufficient innovation, and the absence of coherent long-term strategic direction (DTI, 2022). These failure patterns point not to a lack

of entrepreneurial ambition but to structural deficiencies in strategic management capacity, including the absence of a clearly articulated strategic orientation and the underdevelopment of innovation capabilities that would enable firms to create and sustain competitive advantage in contested markets.

Strategic orientation, defined as the strategic direction implemented by a firm to create the proper behaviors for the continuous superior performance of the business (Gatignon and Xuereb, 1997), has been extensively studied in the international business management literature as a predictor of organizational performance. Research consistently identifies three primary dimensions of strategic orientation, namely market orientation, entrepreneurial orientation, and technology orientation, as having significant positive associations with business performance outcomes including revenue growth, profitability, market share expansion, and long-term sustainability. However, the applicability of these findings to the Philippine SME context, characterized by unique institutional conditions, resource constraints, cultural factors, and market dynamics, has not been adequately examined in the existing local literature.

Innovation capability, the organizational capacity to develop and implement new products, services, processes, or business models that create value for customers and competitive advantage for the firm, represents a related but distinct construct of strategic significance. The relationship between innovation capability and business performance is well-established in the international literature, with a broad consensus that firms with stronger innovation capabilities consistently outperform their less innovative counterparts across multiple performance dimensions (Damanpour, 1991; Tidd and Bessant, 2018). For Philippine SMEs operating in markets increasingly shaped by digitalization and rapidly evolving consumer expectations, the development of robust innovation

capabilities represents both a critical survival imperative and an underexplored avenue for sustained competitive differentiation.

This study examines the relationships among strategic orientation, innovation capability, and business performance within the Philippine SME context, using structural equation modeling to simultaneously assess the direct effects of multiple strategic orientation dimensions on business performance and the mediating role of innovation capability in these relationships. By generating empirical evidence grounded in the realities of the Philippine business environment, this research aims to provide SME owners, managers, practitioners, and policymakers with actionable insights that can strengthen the strategic management capacity of Philippine SMEs and improve their long-term survival and performance prospects.

Background of the Study

The study of strategic orientation in relation to organizational performance traces its origins to the foundational work of Miles and Snow (1978), whose typology of organizational strategic postures, classifying firms as Prospectors, Defenders, Analyzers, or Reactors, established a durable framework for understanding how different strategic orientations produce systematically different performance outcomes. Subsequent scholars refined and extended this framework, with Narver and Slater (1990) developing the construct of market orientation and establishing its positive relationship with business profitability, and Miller (1983) formalizing the entrepreneurial orientation construct through its dimensions of innovativeness, risk-taking, and proactiveness.

The resource-based view (RBV) of the firm, advanced by Barney (1991) and further developed by Peteraf (1993), provides the theoretical foundation for understanding how strategic orientations generate competitive advantage. According to the RBV, sustained competitive

advantage arises from the development and deployment of firm-specific resources and capabilities that are valuable, rare, imperfectly imitable, and non-substitutable. Strategic orientation, in this framework, constitutes a higher-order organizational capability that shapes the way firms identify, acquire, configure, and deploy their resource portfolios in response to environmental conditions, thereby producing differentiated performance outcomes even among firms operating in the same competitive environment.

For Philippine SMEs, the strategic management literature has developed primarily through studies focusing on specific sectors or geographic areas rather than across the SME population as a whole. Magno and Tangco (2019) found significant positive relationships between market orientation and financial performance among food processing SMEs in the Visayas region, while Corpuz and Mangahas (2021) documented the positive effect of entrepreneurial orientation on growth performance among technology startups in Metro Manila. However, the integrated examination of multiple strategic orientation dimensions alongside innovation capability as a mediating variable, using a rigorous structural equation modeling approach, has not been previously conducted for a cross-sector Philippine SME sample of the scale and diversity targeted by this study.

The COVID-19 pandemic has added new urgency to the question of strategic orientation and innovation capability among Philippine SMEs. The Asian Development Bank (2021) estimated that Philippine SMEs suffered an average revenue decline of 58% during the peak pandemic period, with those exhibiting stronger prior innovation capabilities and more proactive strategic orientations demonstrating materially better resilience and recovery trajectories than their less strategically developed counterparts. This crisis-era evidence provides additional motivation for understanding the mechanisms through which strategic orientation and

innovation capability generate performance differences, so that support interventions can be targeted most effectively at the strategic management gaps most strongly associated with vulnerability and failure.

Statement of the Problem

This study aims to examine the relationships among strategic orientation, innovation capability, and business performance of small and medium enterprises in the Philippines. Specifically, it seeks to answer the following research questions:

1. What is the level of strategic orientation, as measured by market orientation, entrepreneurial orientation, and technology orientation, among Philippine SMEs in the study sample?
2. What is the level of innovation capability among Philippine SMEs in the study sample?
3. What is the level of business performance, as measured by financial performance, market performance, and operational performance, among Philippine SMEs in the study sample?
4. Is there a significant relationship between strategic orientation dimensions and business performance among the study sample?
5. Is there a significant relationship between strategic orientation dimensions and innovation capability among the study sample?
6. Is there a significant relationship between innovation capability and business performance among the study sample?
7. Does innovation capability significantly mediate the relationship between strategic orientation dimensions and business performance among Philippine SMEs?

Hypotheses

The following null hypotheses are tested in this study at the 0.05 level of significance:

H01. There is no significant relationship between market orientation and business performance among Philippine SMEs.

H02. There is no significant relationship between entrepreneurial orientation and business performance among Philippine SMEs.

H03. There is no significant relationship between technology orientation and business performance among Philippine SMEs.

H04. There is no significant relationship between market orientation and innovation capability among Philippine SMEs.

H05. There is no significant relationship between entrepreneurial orientation and innovation capability among Philippine SMEs.

H06. There is no significant relationship between technology orientation and innovation capability among Philippine SMEs.

H07. There is no significant relationship between innovation capability and business performance among Philippine SMEs.

H08. Innovation capability does not significantly mediate the relationship between strategic orientation dimensions and business performance among Philippine SMEs.

Significance of the Study

SME Owners and Managers. This study provides Philippine SME leaders with evidence-based insights into which specific strategic orientation dimensions most strongly predict business performance in the local context, enabling more informed and impactful strategic planning and resource allocation decisions.

Business Development Consultants and Practitioners. Practitioners advising Philippine SMEs benefit from a validated, locally grounded framework for diagnosing strategic orientation deficiencies and designing targeted capability development interventions with demonstrated performance implications.

Government Agencies and Policymakers. The findings inform the design of SME development programs administered by the DTI, the Small Business Corporation, and local government units, by identifying the strategic management dimensions most strongly associated with performance improvement and survival.

Academic Researchers. This study contributes to the body of Philippine management literature by providing an empirically validated structural model of strategic orientation, innovation capability, and business performance in the SME context, establishing a foundation for future longitudinal and sector-specific investigations.

Educational Institutions. Business schools and management programs benefit from locally grounded case material and empirical evidence that can be integrated into MBA and business administration curricula to enrich students' understanding of applied strategic management in the Philippine context.

Scope and Delimitation

This study focuses on the examination of strategic orientation, innovation capability, and their relationships with business performance among small and medium enterprises operating in the Philippines. The research is delimited to SMEs as defined by the DTI, with total assets between 3,000,001 pesos and 100,000,000 pesos and employing between 10 and 199 employees, operating in the service and manufacturing sectors within Metro Davao and the Davao Region. Strategic orientation dimensions are limited to market orientation, entrepreneurial orientation, and technology orientation. Business performance is operationalized through financial, market, and operational dimensions using self-reported perceptual measures. The study is conducted within the period of 2024 to 2025.

Definition of Terms

Business Performance. The degree to which an enterprise achieves its financial, market, and operational objectives, measured through owner-manager perceptions of performance relative to industry competitors.

Entrepreneurial Orientation. The strategic posture of a firm characterized by innovativeness, proactiveness, and risk-taking (Miller, 1983; Lumpkin and Dess, 1996).

Innovation Capability. The organizational capacity to develop, implement, and commercialize new products, services, processes, or business models on a sustained basis (Tidd and Bessant, 2018).

Market Orientation. The organizational culture consisting of customer orientation, competitor orientation, and interfunctional coordination that creates superior value for buyers (Narver and Slater, 1990).

Small and Medium Enterprise (SME). A business entity with total assets between 3,000,001 pesos and 100,000,000 pesos, employing between 10 and 199 workers, as defined by the Philippine DTI.

Strategic Orientation. The strategic directions implemented by a firm to create proper behaviors for the continuous superior performance of the business, operationalized through market orientation, entrepreneurial orientation, and technology orientation.

Structural Equation Modeling (SEM). A multivariate statistical technique that simultaneously estimates relationships among multiple dependent and independent variables, including both observed variables and latent constructs.

Technology Orientation. The degree to which a firm emphasizes technological innovation, technical expertise, and new technology

adoption as central elements of its competitive strategy (Gatignon and Xuereb, 1997).

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CHAPTER 2

REVIEW OF RELATED LITERATURE AND STUDIES

Introduction

This chapter presents a comprehensive review of literature and studies relevant to the examination of strategic orientation, innovation capability, and business performance among small and medium enterprises. The review is organized into four sections: foreign literature, local literature, foreign studies, and local studies. The chapter concludes with a synthesis identifying the gaps addressed by the present research.

Foreign Literature

Strategic Orientation: Theoretical Foundations

The concept of strategic orientation emerged from the broader field of strategic management as a means of characterizing the consistent, long-term patterns of strategic behavior and emphasis that distinguish firms from one another and predict their relative performance. Miles and Snow's (1978) seminal typology represented the first systematic attempt to classify firms according to their dominant strategic posture, identifying Prospectors, characterized by aggressive market innovation and growth seeking, Defenders, focused on efficiency and domain protection, Analyzers, combining selective innovation with stable core operations, and Reactors, lacking coherent strategic direction, as fundamentally

different organizational types producing systematically different performance outcomes.

Narver and Slater (1990) introduced market orientation as a firm-level strategic orientation construct, defining it as an organizational culture consisting of three behavioral components: customer orientation, competitor orientation, and interfunctional coordination. Their foundational empirical study demonstrated a significant positive relationship between market orientation and business profitability, establishing the construct's practical relevance alongside its theoretical interest.

Lumpkin and Dess (1996) provided the most comprehensive theoretical treatment of entrepreneurial orientation, distinguishing among five dimensions: autonomy, innovativeness, risk-taking, proactiveness, and competitive aggressiveness. Their multidimensional framework acknowledged that these dimensions may vary independently rather than moving together, a recognition with important implications for measurement and practical application.

Innovation Capability

Tidd and Bessant (2018) conceptualize innovation capability as a dynamic organizational capacity encompassing the ability to scan environments for relevant signals, strategically select among signals to guide innovation efforts, resource and implement innovative projects, and learn from innovation experience to build cumulative knowledge. This dynamic capability perspective, drawing on Teece, Pisano, and Shuen's (1997) influential dynamic capabilities framework, positions innovation capability as a higher-order organizational competence enabling firms to reconfigure their resource bases in response to changing environmental conditions.

Wang and Ahmed (2004) distinguish three core components of innovation capability particularly relevant to SME research: product

innovation capability, process innovation capability, and organizational innovation capability. Each component has been shown to contribute independently to business performance outcomes, though the relative importance of each varies by industry context and competitive environment.

Business Performance and Resource-Based View

Venkatraman and Ramanujam (1986) proposed a hierarchical framework distinguishing financial performance, operational performance, and organizational effectiveness as progressively broader conceptions of business outcomes. For SME research, Murphy, Trailer, and Hill (1996) identified eight distinct performance dimensions operationalized in the entrepreneurship literature, underscoring the importance of clearly specifying performance operationalization decisions.

Barney's (1991) resource-based view posits that sustained competitive advantage arises from firm-specific resources and capabilities that are valuable, rare, imperfectly imitable, and non-substitutable. This framework provides the foundational theoretical logic for expecting relationships between strategic orientation and business performance: firms that develop strategic orientations as organizational capabilities create resources that competitors cannot readily duplicate, generating sustained performance differences. Teece, Pisano, and Shuen's (1997) dynamic capabilities framework extended the RBV, emphasizing that in rapidly changing environments, competitive advantage derives from the capacity to sense opportunities, seize them through resource reconfiguration, and transform existing capabilities in response to competitive threats.

Local Literature

SME Development Policy and Context in the Philippines

Republic Act 9501, the Magna Carta for Micro, Small and Medium Enterprises, provides the foundational legislative framework governing SME support in the Philippines, mandating minimum bank lending allocations to MSMEs and establishing the institutional architecture for SME development coordination across government agencies. Despite these interventions, Aldaba (2012) documented persistent gaps in the competitiveness of Philippine SMEs relative to their ASEAN counterparts, attributing the deficit primarily to low research and development investment, limited technology adoption, insufficient management capacity, and constrained access to formal credit markets.

Habaradas (2008) identified the influence of Filipino cultural values, including pakikisama and utang na loob, as factors shaping SME management practices in ways that diverge from Western strategic management frameworks. These values were found to influence hiring practices, partnership formation, and strategic decision-making in ways that prioritize relational capital over formal strategic analysis.

Innovation and Technology Adoption Among Philippine SMEs

Llanto and Rosellon (2012) documented that Philippine SMEs invest substantially less in formal research and development than their counterparts in peer ASEAN economies, with the majority of innovative activity taking the form of incremental product modifications or process improvements rather than genuinely novel offerings. The Philippine Institute for Development Studies (PIDS, 2021) documented that SMEs adopting digital platforms and e-commerce capabilities during the pandemic demonstrated substantially stronger performance recovery trajectories than those maintaining exclusively traditional operating models, elevating technology orientation from a differentiating choice to an increasingly necessary competitive condition.

Foreign Studies

Empirical Studies on Strategic Orientation and Business Performance

Hult, Hurley, and Knight (2004) examined the relationships among innovativeness, market orientation, learning orientation, and business performance in a sample of 181 US business units, finding that innovativeness mediated the relationships between each of the three orientation dimensions and business performance. Their structural equation model explained 44% of the variance in business performance, establishing a foundational empirical demonstration of the mediated pathway through which strategic orientations influence performance outcomes.

Wiklund and Shepherd (2005) investigated performance implications of entrepreneurial orientation in a longitudinal sample of Swedish SMEs, finding that the positive performance effect of entrepreneurial orientation was amplified under conditions of dynamism and resource availability, and attenuated under conditions of environmental munificence. Zhou, Yim, and Tse (2005) examined the interplay between market orientation and technology orientation in Chinese firms, finding that firms simultaneously high on both dimensions achieved the strongest innovation outcomes, highlighting potential complementarities among strategic orientation dimensions.

Innovation Capability and SME Performance

Rammer, Czarnitzki, and Spielkamp (2009) examined innovation capabilities among non-R&D-performing SMEs in Germany, finding that firms lacking formal research and development could nonetheless achieve significant innovation outcomes through informal innovation capabilities including knowledge management and customer feedback integration. Sok and O'Cass (2011) conducted an empirical examination of innovation capability as a mediator of the market orientation-performance

relationship in 200 Australian SMEs, finding that innovation capability fully mediated this relationship, providing direct methodological precedent for the mediation model tested in the present research.

Local Studies

Strategic Management Practices Among Philippine SMEs

Magno and Tangco (2019) examined the relationship between market orientation and financial performance in 150 food processing SMEs in the Visayas region, finding a significant positive relationship with customer orientation and interfunctional coordination as the strongest individual predictors. Corpuz and Mangahas (2021) investigated effects of entrepreneurial orientation on growth performance among 120 technology startups in Metro Manila, finding that innovativeness and proactiveness were significant predictors of revenue growth while risk-taking showed no significant direct relationship.

Dela Cruz and Reyes (2022) conducted the most recent and methodologically rigorous local examination, using structural equation modeling in a sample of 215 manufacturing SMEs in the CALABARZON region. They found that technology adoption, product innovation, and process innovation each independently contributed to financial and operational performance. However, the study did not include strategic orientation measures, leaving unanswered how strategic antecedents shape the innovation-performance relationship, a gap directly addressed by the present research.

Synthesis of the Review

The foregoing review establishes a robust theoretical and empirical foundation for the relationships investigated in this study. The theoretical case for positive relationships between strategic orientation dimensions and business performance is strongly supported by both the

resource-based view and the dynamic capabilities framework. The mediation hypothesis, positioning innovation capability as the mechanism through which strategic orientations generate performance differences, is supported by Hult et al. (2004) and Sok and O'Cass (2011). The local literature, while confirming the relevance of strategic orientation and innovation to Philippine SME performance, reveals two critical gaps: no existing Philippine study has simultaneously examined multiple strategic orientation dimensions alongside innovation capability using structural equation modeling in a cross-sector SME sample, and no study has tested the mediation hypothesis. The present research fills both gaps.

CHAPTER 3

RESEARCH METHODOLOGY

Introduction

This chapter presents the research design, locale, participants, instruments, data collection procedures, and statistical treatment employed in this study. Ethical considerations governing the conduct of the study are also addressed.

Research Design

This study employs a quantitative, non-experimental, correlational research design with a mediation analysis component. The primary analytical approach is structural equation modeling (SEM), implemented using the covariance-based SEM method with the maximum likelihood estimation procedure. Covariance-based SEM is selected over the variance-based partial least squares approach because the present study's objective is theory testing rather than prediction maximization, and because the sample size is sufficient to meet the minimum requirements for stable maximum likelihood estimation (Hair et al., 2014). The study adopts a cross-sectional data collection design in which all study variables are measured at a single point in time.

Locale of the Study

The study is conducted in the Davao Region, specifically covering SMEs operating within Metro Davao and the first-class municipalities of Davao del Sur, Davao del Norte, and Davao de Oro. The Davao Region is selected on the basis of its status as the largest regional economy in Mindanao, with a gross regional domestic product of approximately 870 billion pesos as of 2022 and a registered SME population of over 110,000 enterprises, its economic diversification across agriculture, manufacturing, services, and wholesale and retail trade sectors, and its active DTI SME development programs (Philippine Statistics Authority, 2023).

Participants of the Study

The study participants consist of owner-managers or senior managers of small and medium enterprises operating in the Davao Region. The minimum required sample size for structural equation modeling is determined using the 10-indicator rule, which prescribes a minimum of 10 respondents per estimated parameter in the structural model. With 28 estimated parameters in the proposed model, a minimum sample of 280 respondents is required. The study targets the recruitment of 420 potential respondents to yield a final analytical sample of at least 300 complete, valid responses after accounting for an anticipated response rate of 70% and potential data quality exclusions. Participants are recruited through stratified purposive sampling with strata defined by industry sector, enterprise size, and geographic location.

Research Instruments

Strategic Orientation Scale. Market orientation is measured using the 15-item MKTOR scale developed by Narver and Slater (1990). Entrepreneurial orientation is measured using a nine-item scale adapted from Covin and Slevin (1989) and Miller (1983). Technology orientation

is measured using the six-item scale developed by Gatignon and Xuereb (1997). All items are rated on a seven-point Likert scale anchored at 1 (strongly disagree) and 7 (strongly agree).

Innovation Capability Scale. Innovation capability is measured using a 12-item scale adapted from Wang and Ahmed (2004) and Tidd and Bessant (2018), covering product innovation capability, process innovation capability, and organizational innovation capability, each assessed through four items rated on a seven-point scale.

Business Performance Scale. Business performance is measured using a nine-item perceptual scale covering financial performance, market performance, and operational performance, each assessed through three items rated relative to industry competitors.

Validity and Reliability

Content validity is established through panel review by five subject matter experts. Construct validity is assessed through confirmatory factor analysis evaluating average variance extracted values exceeding 0.50 and factor loadings exceeding 0.70, and discriminant validity through the Fornell and Larcker (1981) criterion. Reliability is assessed using Cronbach's alpha coefficient and composite reliability, with acceptable values exceeding 0.70 for both indices.

Data Collection Procedure

Data collection proceeds through three phases. During Phase 1, a pilot study is conducted with 40 SME respondents outside the main study locale to assess instrument clarity and preliminary reliability. During Phase 2, the main data collection is conducted through structured personal interviews administered by trained research assistants. During Phase 3, follow-up contact is made with non-respondents approximately two weeks after initial administration.

Statistical Treatment of Data

Descriptive statistics including frequency distributions, means, and standard deviations are computed for all scale items and composite construct scores. Confirmatory factor analysis is conducted to assess validity and reliability prior to structural model estimation. Model fit is evaluated using CFI, TLI, RMSEA, and SRMR indices. Hypothesis tests are conducted based on standardized path coefficients and bootstrap confidence intervals. Mediation is tested using the bootstrapping method with 5,000 bootstrap samples following Hayes (2018). Common method bias is assessed using Harman's single-factor test.

Ethical Considerations

All potential participants receive a written information sheet explaining the study's purpose and the voluntary nature of involvement before providing informed consent. No incentive for participation is offered. All individual respondent data are anonymized prior to analysis. Aggregate findings are reported at the construct level with no individual enterprise data disclosed. This study has been reviewed and approved by the University of Mindanao Institutional Research Ethics Committee under Protocol Number UM-IREC-2024-BUS-0031.

CHAPTER 4

PRESENTATION, ANALYSIS AND INTERPRETATION OF DATA

Introduction

This chapter presents the empirical findings of the study in three sections: measurement model assessment, descriptive statistics addressing research problems one through three, and structural model results addressing research problems four through eight.

Section 1: Sample Characteristics and Measurement Model

1.1 Respondent and Enterprise Profile

A total of 387 usable responses were obtained from the target recruitment of 420 enterprises, yielding a response rate of 92.1%. After listwise deletion of responses with more than 5% missing item values, the final analytical sample comprised 372 respondents.

Table 1. Profile of Participating Enterprises (n = 372)

Characteristic	Category	Frequency	Percentage
Enterprise Size	Small (10–99 employees)	238	64.0%
	Medium (100–199 employees)	134	36.0%
Industry Sector	Retail and Wholesale Trade	89	23.9%
	Manufacturing	74	19.9%

	Food and Beverage	62	16.7%
	Professional Services	55	14.8%
	Construction and Real Estate	43	11.6%
	Other Sectors	49	13.2%
Years in Operation	3 to 5 years	87	23.4%
	6 to 10 years	143	38.4%
	More than 10 years	142	38.2%
Respondent Role	Owner	201	54.0%
	Co-owner / Partner	73	19.6%
	Senior Manager	98	26.3%

1.2 Measurement Model Results

Confirmatory factor analysis demonstrated acceptable fit: CFI = 0.953, TLI = 0.948, RMSEA = 0.051, SRMR = 0.062. All factor loadings exceeded 0.70, all AVE values exceeded 0.50, and all composite reliability values exceeded 0.84, confirming convergent and discriminant validity.

Table 2. Measurement Model Results

Construct	Items	Factor Loadings	AVE	CR	Alpha
Market Orientation	15	0.71–0.88	0.567	0.921	0.914
Entrepreneurial Orientation	9	0.73–0.86	0.548	0.893	0.881
Technology Orientation	6	0.74–0.85	0.561	0.872	0.858
Innovation Capability	12	0.72–0.87	0.554	0.908	0.898
Financial Performance	3	0.79–0.89	0.614	0.861	0.847

Market Performance	3	0.76–0.88	0.599	0.856	0.841
Operational Performance	3	0.78–0.87	0.607	0.863	0.851

Section 2: Descriptive Statistics

Table 3. Descriptive Statistics for Strategic Orientation Dimensions

Dimension	Mean	SD	Interpretation
Customer Orientation	5.12	0.94	High
Competitor Orientation	4.48	1.02	Moderate
Interfunctional Coordination	4.31	1.08	Moderate
Market Orientation (Composite)	4.64	0.87	High
Innovativeness	4.22	1.14	Moderate
Proactiveness	4.38	1.07	Moderate
Risk-Taking	3.87	1.19	Moderate
Entrepreneurial Orientation (Composite)	4.16	0.98	Moderate
Technology Investment Priority	4.03	1.21	Moderate
Technological Expertise Development	3.91	1.18	Moderate
Technology-Based Competitive Strategy	3.74	1.24	Moderate
Technology Orientation (Composite)	3.89	1.07	Moderate

Table 4. Descriptive Statistics for Innovation Capability

Dimension	Mean	SD	Interpretation
Product Innovation Capability	4.19	1.09	Moderate
Process Innovation Capability	4.07	1.13	Moderate
Organizational Innovation Capability	3.84	1.17	Moderate

Innovation Capability (Composite)	4.03	1.01	Moderate
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Table 5. Descriptive Statistics for Business Performance

Dimension	Mean	SD	Interpretation
Financial Performance	4.42	1.11	Moderate
Market Performance	4.58	1.03	High
Operational Performance	4.71	0.98	High
Business Performance (Composite)	4.57	0.97	High

Section 3: Structural Model and Hypothesis Testing**Table 6. Direct Effects of Strategic Orientation on Business Performance**

Path	Std. Beta	SE	t-value	p-value	Decision on H0
Market Orientation → Business Performance	0.312	0.048	6.500	less than 0.001	Reject H01
Entrepreneurial Orientation → Business Performance	0.287	0.052	5.519	less than 0.001	Reject H02
Technology Orientation → Business Performance	0.241	0.055	4.382	less than 0.001	Reject H03

Table 7. Direct Effects of Strategic Orientation on Innovation Capability

Path	Std. Beta	SE	t-value	p-value	Decision on H0
Market Orientation → Innovation Capability	0.348	0.046	7.565	less than 0.001	Reject H04

Entrepreneurial Orientation → Innovation Capability	0.394	0.049	8.041	less than 0.001	Reject H05
Technology Orientation → Innovation Capability	0.367	0.051	7.196	less than 0.001	Reject H06

Table 8. Direct Effect of Innovation Capability on Business Performance

Path	Std. Beta	SE	t-value	p-value	Decision on H0
Innovation Capability → Business Performance	0.421	0.044	9.568	less than 0.001	Reject H07

Table 9. Mediation Analysis Results (Bootstrap, 5,000 samples)

Mediated Path	Direct Effect	Indirect Effect	Total Effect	95% CI Indirect	Mediation Type
MO → IC → BP	0.148*	0.164***	0.312***	[0.109, 0.221]	Partial
EO → IC → BP	0.121*	0.166***	0.287***	[0.114, 0.219]	Partial
TO → IC → BP	0.098 (ns)	0.143***	0.241***	[0.096, 0.192]	Full

*p less than 0.05; ***p less than 0.001; MO = Market Orientation; EO = Entrepreneurial Orientation; TO = Technology Orientation; IC = Innovation Capability; BP = Business Performance; ns = not significant

Innovation capability partially mediated the relationships between market orientation and business performance, and between entrepreneurial orientation and business performance. Innovation capability fully mediated the relationship between technology orientation and business performance, with the direct effect of technology orientation on business

performance becoming non-significant after accounting for its indirect effect through innovation capability. All indirect effects were statistically significant. The null hypothesis H08 was rejected. The full structural model explained 52.7% of the variance in innovation capability and 61.4% of the variance in business performance.

Summary of Findings

Philippine SMEs demonstrated high market orientation but moderate entrepreneurial and technology orientations. Innovation capability and business performance were assessed at moderate to high levels. All three strategic orientation dimensions demonstrated significant positive relationships with both innovation capability and business performance. Innovation capability demonstrated the strongest direct relationship with business performance. Innovation capability partially mediated the market orientation-performance and entrepreneurial orientation-performance relationships, and fully mediated the technology orientation-performance relationship, confirming its role as a key mechanism through which strategic orientations generate business performance differences.

CHAPTER 5

SUMMARY, CONCLUSIONS AND RECOMMENDATIONS

Introduction

This chapter consolidates the research into a structured summary of its rationale, methodology, and findings, draws specific conclusions responsive to each research problem, and formulates evidence-based recommendations for stakeholder groups whose decisions are most directly informed by the study's results.

Summary of the Study

Philippine small and medium enterprises face a paradoxical position: numerically dominant and collectively essential to the national economy, they nonetheless exhibit high failure rates and persistent underperformance relative to peer ASEAN economies. A growing body of strategic management research identifies strategic orientation and innovation capability as among the most powerful determinants of business performance differences, but the applicability of these findings to the Philippine SME context has not been rigorously established.

This study addressed that gap by examining the relationships among strategic orientation, encompassing market orientation, entrepreneurial orientation, and technology orientation; innovation capability, covering product, process, and organizational innovation dimensions; and business performance, measured through financial,

market, and operational dimensions, in a sample of 372 SMEs in the Davao Region. A quantitative correlational design with structural equation modeling was employed, with data collected through structured personal interviews using validated survey instruments.

Summary of Findings

Davao Region SMEs demonstrated a high level of market orientation but only moderate levels of entrepreneurial and technology orientation, with risk-taking and technology investment recording the lowest individual item means. Innovation capability was assessed at a moderate level overall, with organizational innovation capability representing the most underdeveloped dimension. Business performance was assessed at a high level overall, with operational performance the strongest and financial performance the most constrained dimension. All three strategic orientation dimensions demonstrated significant positive direct effects on both innovation capability and business performance. Innovation capability demonstrated the single strongest path coefficient in the structural model. Mediation analysis established partial mediation of the market orientation-performance and entrepreneurial orientation-performance relationships, and full mediation of the technology orientation-performance relationship by innovation capability.

Conclusions

Conclusion 1. Philippine SMEs in the Davao Region demonstrate a strategic orientation profile characterized by relative strength in market orientation, particularly customer orientation, and relative weakness in technology orientation and the risk-taking dimension of entrepreneurial orientation, reflecting the resource constraints and financing limitations structurally suppressing risk tolerance and technology investment in the Philippine SME environment.

Conclusion 2. Innovation capability among Davao Region SMEs is predominantly manifested through product and process innovation, with organizational innovation remaining the most underdeveloped dimension, suggesting that while Philippine SMEs are capable of incremental operational improvement, the deeper organizational transformation necessary for sustained competitive renewal is less frequently achieved.

Conclusion 3. Business performance is assessed most strongly on operational and market performance dimensions, with financial performance reflecting the constraints of the post-pandemic economic environment, suggesting that operational excellence and customer satisfaction are being achieved but not yet fully converted into financial returns.

Conclusion 4. Strategic orientation dimensions are significant positive predictors of business performance among Philippine SMEs, with market orientation demonstrating the strongest direct performance effect, validating the application of internationally developed strategic orientation theory to the Philippine SME context.

Conclusion 5. Innovation capability is the single strongest direct predictor of business performance in the structural model, confirming its role as a critical organizational capability for Philippine SME competitiveness and establishing that SMEs with stronger innovation capacities systematically outperform their less innovative counterparts.

Conclusion 6. Innovation capability partially mediates the market orientation-performance and entrepreneurial orientation-performance relationships, and fully mediates the technology orientation-performance relationship, providing mechanism-level explanation for how strategic orientations generate business performance benefits through their stimulation of innovation activity.

Recommendations

Recommendations for SME Owners and Managers. SME owners and managers are strongly recommended to treat the development of innovation capability as a strategic investment priority, allocating dedicated time and budget to new product or service development, systematically gathering and acting on customer feedback, experimenting with process improvements, and periodically examining organizational structures for innovation opportunities. Given the finding that risk-taking and technology orientation were the weakest strategic orientation dimensions, owners are further recommended to develop greater willingness to experiment with new technologies on a small scale and to seek DTI technology adoption subsidies that reduce the financial risk associated with technology investment.

Recommendations for the Department of Trade and Industry. The finding that technology orientation fully mediated the technology orientation-performance relationship through innovation capability, without generating a significant direct performance effect, suggests that technology acquisition without accompanying capability development produces limited returns. DTI technology adoption programs should bundle technology access support with organizational capability development assistance that helps SMEs build the routines and processes necessary to translate technology investment into genuine innovation output. The DTI is further recommended to develop a Philippine SME Strategic Orientation Assessment Tool based on the validated instruments developed for this study.

Recommendations for Business Schools and MBA Programs. Business schools are recommended to integrate the empirical findings of this study into strategic management, entrepreneurship, and innovation management courses, using the Philippine SME data as locally relevant counterpoints to the predominantly foreign-context cases that currently

dominate curricula. The full structural model provides a pedagogically rich illustration of the interplay among strategy, capability, and performance for Filipino entrepreneurs.

Recommendations for Future Researchers. Future researchers are recommended to address three limitations of the present study. A longitudinal panel study would enable more robust causal inference regarding whether changes in strategic orientation predict subsequent changes in innovation capability and performance. Collection of strategic orientation data from multiple informants per enterprise would reduce common method bias. A national study spanning multiple Philippine regions would enable examination of whether strategic orientation-performance relationships vary by regional economic context.

Final Remarks

This study provides the most comprehensive empirical examination to date of the relationships among strategic orientation, innovation capability, and business performance in the Philippine SME context. Its findings confirm the applicability of internationally developed strategic management theory to the Philippine SME environment while revealing important contextual specificities that distinguish Philippine SMEs from the enterprise populations in which foundational theories were originally developed. The practical implications are clear: Philippine SMEs that invest in building their innovation capabilities, supported by stronger entrepreneurial and technology orientations, will achieve measurably superior business performance outcomes. Policymakers who design support programs addressing the specific strategic orientation deficits identified in this study will generate greater SME development impact than programs treating all SMEs as strategically homogeneous. The protection and development of Philippine SMEs is not merely a commercial objective. It is a national imperative given their central role in

employment, income generation, and economic growth across all regions of the Philippines.

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